

IVRCL INFRASTRUCTURES AND PROJECTS Established 1990

As one of India's top infrastructure companies, IVRCL is executing several projects across 21 states. From working only on water-related projects, it has now diversified into sectors like roads and power.

MAKING IT ALL HAPPEN

For a contracting company that does 100 per cent government projects, IVRCL Infrastructures and Projects has emerged as an acknowledged Indian maker of canals. "The key challenge is execution. The project sizes do not matter as all have to be executed with the same degree of concentration," says E. Sudhir Reddy, 49, CMD, IVRCL, who instead of taking up the family profession, law, opted to start his own business way back in 1990. There were no entry barriers then and contracting was relatively easy compared to today's pre-qualification norms.

But with remarkable commitment and consistency, IVRCL has evolved and grown in 20 years to become a formidable player even as it has located new sectors to generate revenue. From water, it moved to roads, then power and is now looking at developing industrial infrastructure, including power plants, coal handling plants and metro rail projects. It is now implementing several projects across 21 states in the country. It has commissioned a water carrier system for a 250 MW thermal power station in the Thar Desert and is putting up a sea water desalination

\$57 billion
has been
allocated to
irrigation
projects in the
11th Five Year
Plan, a 100
per cent rise.

plant in Chennai. It is the only infrastructure company to maintain a top rating for the fourth year in a row.

Water-related projects, however, are its mainstay and account for about half of its revenue and 60 per cent of its orders, which are expected to reach Rs 18,000 crore by March next year. Roads and power come next. IVRCL's not-so-pleasant experience, in terms of delays, in two road projects, resulted in the company toning down its enthusiasm for road BOT projects and instead concentrating on cash contract projects in this segment,

which are aplenty considering that the Government has announced that India will seek bids for 11,000 km of roads worth Rs 1,00,000 crore this financial year and spend Rs 90 billion on micro irrigation systems alone during the next three years.

IVRCL today aspires to own assets worth Rs 20,000 crore in three years from the current Rs 5,000 crore and become a \$2.5 billion company from about a billion dollars in the same time. Goldman Sachs estimates that India needs infrastructure worth at least \$1.7 trillion to boost growth. And IVRCL is the perfect organisation to fill in the gap.

by Amarnath K. Menon



E. Sudhir Reddy 49, CMD

"We plan to capitalise on the huge opportunity in roads, without losing focus on water infrastructure while quality remains the driving force."